

Unbiased estimation via randomization - Application to Option Pricing

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(Q1) 1.

$$\begin{aligned}
 \|Y_l - Y\|_2^2 &= E[Y_l - Y]^2 \\
 &= E[Y_l^2 - 2Y_l Y + Y^2] \\
 &= E[Y_l^2] - 2E[Y_l]E[Y] + E[Y^2] \quad \text{by independence of } Y_l \text{ and } Y \\
 &\rightarrow E[Y^2] - 2E[Y]^2 + E[Y^2] \\
 &= 2 \underbrace{(E[Y^2] - E[Y]^2)}_{\text{Var}[Y]} \\
 &= 2\text{Var}[Y] \neq 0 \quad \text{if } \text{Var}[Y] \neq 0
 \end{aligned}$$

By assumption, N is almost surely finite, i.e.

$$P(N = \infty) = 0.$$

But

$$\{N \geq 1\} \supset \{N \geq 2\} \supset \{N \geq 3\} \supset \dots$$

and $\cap_{l \geq 1} \{N \geq l\} = \{N = \infty\}$. so by continuity of probability,

$$0 = P(N = \infty) = \lim_{l \rightarrow \infty} P(N \geq l),$$

so for l big enough

$$\frac{\|Y_{l-1} - Y\|_2^2}{P(N \geq l)} \geq \frac{\text{Var}[Y]}{P(N \geq l)}.$$

But since $P(N \geq l) \rightarrow 0$ we have

$$\frac{\text{Var}[Y]}{P(N \geq l)} \rightarrow \infty$$

so

$$\sum_{l=1}^{\infty} \frac{\|Y_{l-1} - Y_l\|_2^2}{P(N \geq l)} = \infty$$

2. We want to show

$$\frac{\|Y_{l-1} - Y\|_2^2}{P(N \geq l)} < \infty. \quad (1)$$

By the strong order p assumption and the fact that we have a geometric time step, we have

$$\begin{aligned} \frac{\|Y_{l-1} - Y\|_2^2}{P(N \geq l)} &\leq \frac{\left(C \left(\frac{T}{2^{l-1}}\right)^p\right)^2}{q^l} \\ &= \underbrace{CT^{2p}2^{2p}}_{\tilde{C}} \left(\frac{1}{2^{2p}q}\right)^l. \end{aligned}$$

In order for this geometric series to converge, we need $\frac{1}{2^{2p}q} < 1$, i.e. $q > 2^{-2p}$.

We now proceed to show that $\bar{Z}$ has finite variance. By definition, $\text{Var}[\bar{Z}] = E[\bar{Z}^2] - [E\bar{Z}]^2$. But by Jensen's inequality, we have

$$E[\bar{Z}] = E[Y] \leq (E[Y^2])^{1/2} < \infty \quad \text{because } Y \in L^2(\Omega).$$

So we just need to show $E[\bar{Z}^2] < \infty$. But

$$\begin{aligned} E[\bar{Z}^2] &= \sum_{l=0}^{\infty} \frac{\bar{v}_l}{P(N \geq l)} \\ &= \sum_{l=0}^{\infty} \frac{\|Y_{l-1} - Y\|_2^2 - \|Y_l - Y\|_2^2}{P(N \geq l)} \\ &\leq \sum_{l=0}^{\infty} \frac{\|Y_{l-1} - Y\|_2^2}{P(N \geq l)} < \infty \quad \text{by 1} \end{aligned}$$

(Q2) 1.

$$\begin{aligned} E[\bar{\tau}] &= E \left[\sum_{j=1}^N \bar{t}_j \right] \\ &= E \left[\sum_{j=1}^{\infty} \bar{t}_j \mathbb{1}(N \geq j) \right] \\ &= \sum_{j=1}^{\infty} \bar{t}_j E[\mathbb{1}(N \geq j)] \quad \text{by Tonelli} \\ &= \sum_{j=1}^{\infty} \bar{t}_j P(N \geq j) \end{aligned}$$

2. Since $g(\alpha F) = g(F)$,

$$\min_F \underbrace{\left(\sum_{j=0}^{\infty} \frac{\beta_j}{F_j} \right)}_{:=A(F)} \underbrace{\left(\sum_{j=0}^{\infty} t_j F_j \right)}_{:=B(F)}$$

is equivalent to solving

$$\begin{aligned} & \min_F \sum_{j=0}^{\infty} \frac{\beta_j}{F_j} \\ & \text{subject to} \quad \sum_{j=0}^{\infty} t_j F_j = C \end{aligned}$$

indeed if F^* is a miimizer of $A(F)B(F)$, then F^* is a minimizer of

$$\min_F A(F) \text{ s.t. } B(F) = \underbrace{B(F^*)}_{:=C}$$

. Indeed, if this is not the case, there exists $\hat{F}$ such that $A(\hat{F}) < A(F^*)$ with $A(\hat{F}) = A(F^*)$. But then $A(\hat{F})B(\hat{F}) < A(F^*)B(F^*)$ which contradicts optimality of F^* .

This is a constrained optimization problem so we use lagrange multipliers:

$$\mathcal{L}(F, \lambda) = \sum_{j=0}^{\infty} \frac{\beta_j}{F_j} + \lambda \left(\sum_{j=0}^{\infty} t_j F_j - C \right)$$

$$\begin{aligned} \frac{\partial \mathcal{L}}{\partial F_i} &= 0 \\ \frac{-\beta_i}{F_i^2} + \lambda t_i &= 0 \\ F_i &= \frac{1}{\sqrt{\lambda}} \sqrt{\frac{\beta_i}{t_i}} \end{aligned}$$

In order that $F_0 = 1$, we need

$$\frac{1}{\sqrt{\lambda}} \sqrt{\frac{\beta_0}{t_0}} = 1$$

so $\lambda = \beta_0/t_0$, i.e.

$$F_i = \frac{\sqrt{\beta_i/t_i}}{\sqrt{\beta_0/t_0}} =: F_i^*.$$

So if F^* is feasible (as stated in the assumption of the quesiton) we have that F^* satisfies the KKT conditions. Moreover, the problem is strictly convex so F^* is the unique optimal solution.

3.

$$\begin{aligned}\|\Delta_j\|_2 &= \|Y_j - Y_{j-1}\| \\ &\leq \underbrace{\|Y_j - Y\|_2}_{C2^{-pj}} + \underbrace{\|Y - Y_{j-1}\|_2}_{C2^{-p(j-1)}} \\ &\leq (C + C2^p)2^{-pj}\end{aligned}$$

so

$$\begin{aligned}E[\Delta_j^2] &= \|\Delta_j\|_2^2 \\ &= \underbrace{(C + C2^p)^2}_{\tilde{C}} 2^{-2pj} \\ &= O(2^{-2pj})\end{aligned}$$

4. In order to get the best balance between the variance and the cost, we note that we need to consider the optimal $F_j^* = P(N \geq j)$.

We know $F_j^* \propto \sqrt{\frac{\nu_j}{t_j}} \propto \sqrt{\frac{2^{-2pj}}{2^j}} = 2^{-j(p+\frac{1}{2})}$. Since we assumed that the survival distribution is of the form $P(N \geq l) = 2^{-rl}$, we have $r^* = p + \frac{1}{2}$ is balancing the variance and the cost.

Lets the conditions for $E[\bar{\tau}]$ and $Var[\bar{Z}]$ to be finite.

$$\begin{aligned}E[\bar{\tau}] &= \sum_{j=0}^{\infty} t_j P(N \geq j) \\ &\leq \sum_{j=0}^{\infty} c2^j 2^{-rj} \\ &= \sum_{j=0}^{\infty} C2^{j(1-r)}\end{aligned}$$

In order for the series to converge, we need $j(1-r) < 0$, i.e. $r > 1$.

By the same argument as in (Q1.2), $Var[\bar{Z}] < \infty$ is equivalent to $E[\bar{Z}^2] < \infty$. But

$$\begin{aligned}E[\bar{Z}^2] &= \sum_{l=0}^{\infty} \frac{\bar{\nu}_l}{P(N \geq l)} \\ &= \sum_{l=0}^{\infty} \frac{C2^{-2pj}}{2^{-rl}} \\ &= \sum_{l=0}^{\infty} C2^{j(r-2p)}\end{aligned}$$

and in order for the series to converge, we need $j(r - 2p) < 0$, i.e. $r < 2p$.

(Q4) 1. Suppose by contradiction that there is a path with $\tau_\epsilon < \infty$. Then by continuity of V_t there is a time where V_t first crosses 0. At this point the process reads $dV_t = \kappa\theta > 0$ which pushes the process back to a positive value. So the process can never be negative. But then the original process is also always positive.

2. The idea is to find a Lyapunov function $f(x)$ which explodes when $x \rightarrow \infty$, for example $f(x) = x^{-m}$. In order to derive the dynamics of $f(V_t)$ we use Itô's formula:

$$df(V_t) = f'(V_t)dV_t + \frac{1}{2}f''(V_t)\underbrace{d\langle V \rangle_t}_{\sigma^2 V_t dt}$$

with

$$\begin{aligned} f'(x) &= -mx^{-m-1} \\ f''(x) &= m(m+1)x^{-m-2} \end{aligned}$$

So we have

$$\begin{aligned} df(V_t) &= -mV_t^{-m-1}dV_t + \frac{1}{2}m(m+1)V_t^{-m-2}\sigma^2 V_t dt \\ &= -mV_t^{-m-1}\kappa(\theta - V_t)dt - mV_t^{-m-1}\sigma\sqrt{V_t}dB_t + \frac{1}{2}m(m+1)V_t^{-m-1}\sigma^2 dt \\ &= \left[-mV_t^{-m-1}\kappa(\theta - V_t) + \frac{1}{2}m(m+1)V_t^{-m-1}\sigma^2 \right] dt - mV_t^{-m-1}\sigma\sqrt{V_t}dB_t \\ &= mkV_t^{-m}dt - mV_t^{-m-\frac{1}{2}}\sigma dB_t \end{aligned}$$

where in the last line we set $m = 2\kappa\theta/\sigma^2 - 1$ in order to simplify the expression.

Now it is important to note that we cannot apply Itô on all of $[0, t]$ because V_t^{-m} blows up if V_t hits 0. But we can write Itô's formula for the stopped process

$$V_{t \wedge \tau_\epsilon} \quad \text{where } \tau_\epsilon = \inf\{t : V_t \leq \epsilon\}.$$

We obtain

$$V_{t \wedge \tau_\epsilon}^{-m} = V_0^{-m} + \int_0^t m\kappa V_{s \wedge \tau_\epsilon}^{-m} ds - \int_0^t mV_{s \wedge \tau_\epsilon}^{-m-1/2}\sigma dB_s.$$

Now taking expectation, the term with the brownian motion disappears because it is a martingale since

$$E\left[\int_0^{t \wedge \tau_\epsilon} V_s^{-2(m+1/2)} ds\right] \leq \epsilon^{-2m-1}t < \infty$$

so

$$E[V_{s \wedge \tau_\epsilon}^{-m}] = V_0^{-m} + mk \int_0^t E[V_{s \wedge \tau_\epsilon}^{-m}] ds$$

where we passed the expectation inside the integral using Tonelli's theorem. By Grönwall's inequality, we then get

$$E[V_{s \wedge \tau_\epsilon}^{-m}] \leq V_0^{-m} e^{m\kappa t}.$$

Now note

$$\begin{aligned} P(\tau_\epsilon < t) &= P(V_{s \wedge \tau_\epsilon}^{-m} \geq \epsilon^{-m}) \\ &\leq V_0^{-m} e^{m\kappa t} \epsilon^m \quad \text{Markov's inequality} \end{aligned}$$

We now have to show

$$P(V_t > 0 \forall t \in [0, T]) = 1.$$

This is because

$$\begin{aligned} P(\exists t \in [0, T] : V_t \leq 0) &\leq P(\tau_\epsilon \leq T) \\ &\leq V_0^{-m} e^{m\kappa T} \epsilon^m \rightarrow 0 \quad \text{when } \epsilon \rightarrow 0 \end{aligned}$$

So

$$P(\exists t \in [0, T] : V_t \leq 0) = 0$$

and thus

$$P(V_t > 0 \forall t \in [0, T]) = 1$$

3. Again, we use Itô's formula with

$$\begin{aligned} g(x) &= x^{1/2} \\ g'(x) &= \frac{1}{2} x^{-1/2} \\ g''(x) &= -\frac{1}{4} x^{-3/2} \end{aligned}$$

because

$$Z_t = \sqrt{V_t} = g(V_t)$$

. We get

$$\begin{aligned}
dZ_t &= dg(V_t) \\
&= g'(V_t)dV_t + \frac{1}{2}g''(V_t)\underbrace{d\langle V \rangle_t}_{\sigma^2 V_t dt} \\
&= \frac{1}{2}V_t^{-1/2}dV_t - \frac{1}{8}V_t^{-3/2}\sigma^2 V_t dt \\
&= \frac{1}{2}V_t^{-1/2}\kappa(\theta - V_t)dt + \frac{1}{2}V_t^{-1/2}\sigma V_t^{1/2}dB_t - \frac{1}{8}V_t^{-1/2}\sigma^2 dt \\
&= V_t^{-1/2} \left[\frac{1}{2}\kappa(\theta - V_t) - \frac{1}{8}\sigma^2 \right] dt + \frac{1}{2}\sigma dB_t \\
&= \left[\frac{1}{2}\kappa(\theta V_t^{-1/2} - V_t^{1/2}) - \frac{1}{8}\sigma^2 V_t^{-1/2} \right] dt + \frac{1}{2}\sigma dB_t \\
&= \frac{1}{2}\kappa \left[\left(\theta - \frac{\sigma^2}{4\kappa} \right) Z_t^{-1} - Z_t \right] dt + \frac{1}{2}\sigma dB_t
\end{aligned}$$